

MICRON TECHNOLOGY, INC.

Nasdaq: MU | DRAM including HBM, and NAND flash | Boise, Idaho

Tommy Lau | 7 October 2026 | Initiation of coverage | Independent research

INITIATE AT NO CALL	Target price: None (no call)	Last price: US\$1,045.56 (Nasdaq close, 6 October 2026)	Upside: Base value US\$835 (-20%)
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Micron's wafers are still short, but at US\$1,046 the price needs the next normal year to earn like the last peak.

Micron makes DRAM, including the HBM stacked beside AI chips, and NAND flash. On 7 October I argued that HBM, sold a year ahead and three times as hungry for wafers, keeps ordinary memory short too. The results support it: fiscal 2026 revenue was US\$133.2bn, 3.6 times the year before, and Micron says its 2027 HBM prices narrow the gross margin gap with conventional DRAM.

At US\$1,045.56 the shares trade at 5.9 times consensus fiscal 2027 earnings. That looks cheap, but memory is cyclical. On my method the price needs normal earnings of about US\$59.31 a share after the shortage: a 44.9% net margin on my normal revenue, near the 46.5% of the 2018 peak. I take 30%.

My call: NO CALL, low conviction. My base case is worth US\$835, down 20%, inside my band. The bear case is US\$436 (down 58%) and the bull case US\$1,409 (up 35%). The view leans short, but take-or-pay floors make the next trough hard to call.

Stock data

LAST PRICE

US\$1,045.56, Nasdaq close 6 October 2026; 52-week range US\$179.61 to 1,255.00 (intraday)

MARKET VALUE

About US\$1,181bn on 1.13bn shares

NET CASH, 3 SEP 2026

US\$68.3bn; US\$55.6bn after US\$12.7bn of customer deposits; per share on 1.15bn diluted shares

NON-GAAP P/E

13.8x FY26; 5.9x FY27 and 5.1x FY28 consensus; 6.2x and 5.8x my estimates

CONSENSUS (STOCKANALYSIS.COM)

EPS US\$176.15 FY27, US\$206.33 FY28; average target US\$1,535.57

Q1 FY27 GUIDE (30 SEP)

Revenue US\$61.5bn; gross margin about 86.25%; EPS US\$38.15

FISCAL YEAR

Ends on the Thursday nearest 31 August: FY26 to 3 Sep 2026; FY27 to about 2 Sep 2027

NEXT RESULTS

Q1 FY27, expected 17 December 2026 (third-party calendars; not yet confirmed by Micron)

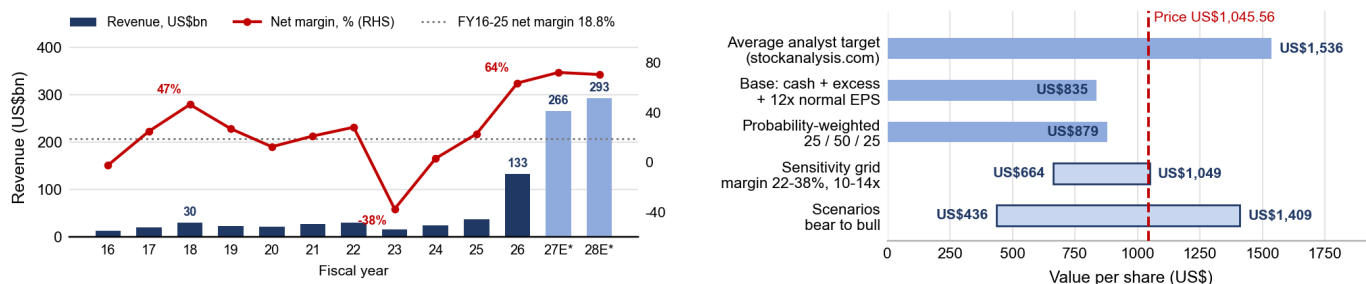
Key financials (non-GAAP unless marked; FY26 ended 3 September 2026, FY27 ends about 2 September 2027)

US\$ billion unless stated	FY25A	FY26A	Q1 FY27 guide	FY27E*	FY28E*	Normal year*
Revenue	37.4	133.2	61.5	266.3	292.9	151.9
Revenue growth (%)	49	256		100	10	
HBM (my estimate)		about 10		16	22	
Conventional DRAM		about 91		178	191	
NAND		31.7		72	80	
Gross margin (%)	40.9%	81.1%	86.25	87.5%	86.0%	
Operating income		101.2		223.6	240.9	
Net margin (%)	25.3%	65.1%		72.3%	70.7%	30.0%
EPS, diluted (US\$)	8.29	75.52	38.15	167.44	179.96	39.63
Consensus EPS (US\$)				176.15	206.33	

P/E at US\$1,045.56 (x) 126 13.8 6.2 5.8 26.4

*FY27E is the Q1 guide plus my Q2 to Q4; FY28E and the normal year are my own estimates. Micron reports DRAM including HBM and stopped giving HBM revenue, so the HBM and conventional DRAM split is mine. FY26 operating income is the sum of the quarters. Consensus from stockanalysis.com (S&P Global data, updated 6 October 2026). History from Micron's release and prepared remarks of 30 September 2026.

Two charts: a cycle at its highest, and a value below the price

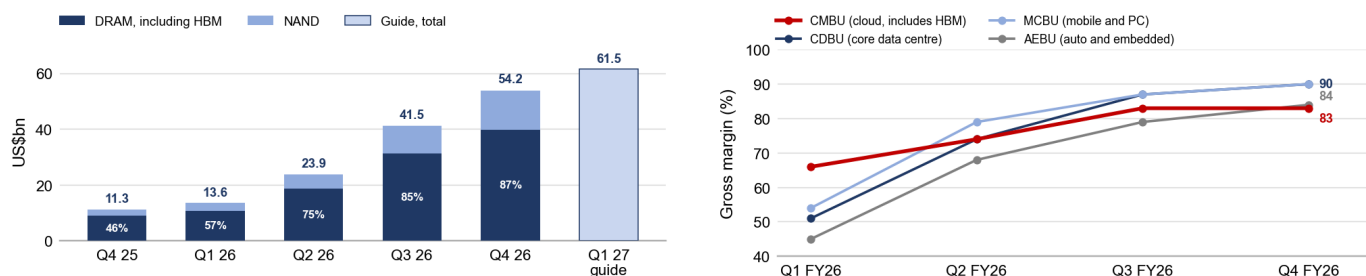


Left: revenue and net margin by fiscal year; GAAP to FY26 (10-K data via SEC EDGAR and stockanalysis.com), my non-GAAP estimates for FY27 and FY28. Right: value per share from the base case, the probability-weighted cases, the sensitivity grid and the bear to bull range, against the US\$1,045.56 price (red) and the stockanalysis.com average analyst target.

The thesis: the bread is earning more than the cakes

Go back to the baker from the October piece. She has one oven and bakes bread and wedding cakes. A cake takes three trays of oven time for the weight of one tray of bread, and couples book a year ahead at a fixed price. So as cake orders grow, the bread queue lengthens, and right now the bread is where the money is, because it sells at today's price.

The oven is full. In the quarter to 3 September revenue was US\$54.2bn: DRAM US\$39.8bn and NAND US\$14.1bn. DRAM bits rose by a mid single digit percentage on the quarter and prices by a high teens percentage. Gross margin was 87.0%, against 45.7% a year earlier. Micron guides US\$61.5bn for the quarter to November and expects revenue to rise in every quarter of fiscal 2027.



Left: revenue by fiscal quarter, DRAM (including HBM) and NAND, with non-GAAP gross margin in white, and the Q1 FY27 guide. Q4 FY25 DRAM and NAND are derived from the growth Micron gave on 30 September 2026. Right: gross margin by business unit in fiscal 2026. Source: Micron prepared remarks and earnings calls, 17 December 2025 to 30 September 2026.

The cakes are booked, and the piece holds. On 30 September Micron said it had agreements for "the vast majority" of its calendar 2027 HBM bits, at significant price increases. In December 2025 it said the three to one trade ratio with DDR5 "only increases with future generations". And it expects industry HBM bits to outgrow conventional DRAM through calendar 2028, with DRAM supply constrained in 2027 and 2028. I checked the piece's figures against the remarks, calls and release; they stand.

The bread earns more. Micron says its 2027 HBM prices narrow "the gross margin gap with conventional DRAM", as the piece read. The unit margins are consistent with it: the cloud unit, which carries HBM, held an 83% gross margin in the last quarter, flat because of "higher HBM mix", while the core data centre and mobile units rose to 90%. The units are customer groups, not products, and the cloud unit sells conventional DRAM too. HBM was nearly US\$2bn of revenue in the quarter to August 2025; on my estimate it was about US\$10bn of fiscal 2026's US\$100.7bn of DRAM. The squeeze pays mostly through ordinary memory, as the piece argued.

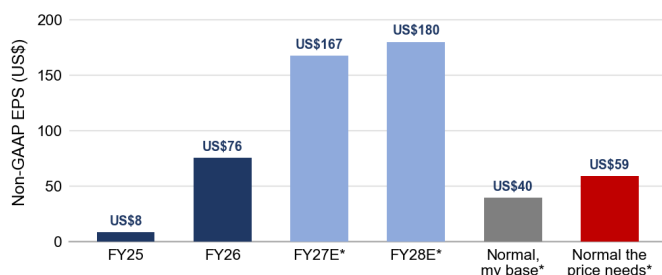
The baker now takes deposits. Micron has signed 26 multi-year take-or-pay agreements, which it estimates cover more than 35% of revenue through 2030, with US\$32bn of customer commitments, mostly cash deposits. Three quarters of that revenue has a defined pricing framework, a majority of it with floor and ceiling prices, so floors cover roughly 13 to 26% of revenue. The CFO said that even at floor prices margins sit "meaningfully above any prior cycle peak margins", which Micron's June remarks

tie to gross margin. More than 75% of 2027 output is committed. New cleanrooms take years: ID1 starts output in mid calendar 2027, ID2 in late 2028 and New York in 2030.

Variant perception: what the market prices in, and where I differ

At US\$1,045.56 Micron is worth about US\$1,181bn. The shares trade at 13.8 times fiscal 2026 EPS of US\$75.52, 5.9 times fiscal 2027 consensus and 5.1 times fiscal 2028. They closed at a high of US\$1,213.56 on 25 June 2026 and are 14% below it.

The low multiple is not the point. Peak memory earnings are not a stream to capitalise. Micron's highest close of fiscal 2022 was US\$97.36, 12.6 times that year's GAAP EPS of US\$7.75; eight months later the shares had halved to US\$48.88, and fiscal 2023 brought a loss of US\$5.34 a share. On the 30 September call an analyst said memory shares look depressed because people think next year may be the peak. Mehrotra answered that 2027 and 2028 will be tighter than 2026.



Left: non-GAAP EPS, reported for FY25 and FY26, my estimates for FY27 and FY28, my base normal year, and the normal year the price needs on my method. Right: MU month-end close, September 2023 to the 6 October 2026 close (Nasdaq.com, retrieved 7 October 2026), against my base value.

What the price needs. I value the cycle, not the year: net cash at October 2027, plus the earnings above normal still to come, plus 12 times normal earnings. On my base fiscal 2028, US\$1,045.56 needs normal EPS of about US\$59.31, 79% of fiscal 2026 and a third of my fiscal 2028. On my normal revenue of US\$152bn, that is a 44.9% net margin. Micron earned 46.5% in fiscal 2018, the last peak, and 18.8% over fiscal 2016 to 2025 in all.

Where I differ. I take a 30% normal margin: far above history, because the take-or-pay floors, HBM and the deposits are real changes, but well below the old peak. My normal revenue lets bits grow 20% a year for four years and revenue per bit settle at 55% of fiscal 2026's average. The market assumes Micron keeps close to peak economics through the next downturn. It may, which is why I do not go short. The floors deserve their due: a gross margin above the old peaks implies a net margin of roughly 45% or more on the floored slice. If that is a fifth to a quarter of revenue, my 30% needs the rest to earn about 25 to 26%, a little above its ten-year 18.8%; the price needs the rest near 45% too.

Valuation, with the working

Fiscal 2027 is the Q1 guide, then revenue up about 6, 5 and 4% a quarter, gross margin rising to 88% and operating costs up the guided US\$2.5bn to US\$9.3bn, with 15.5% tax on 1.15bn shares: EPS US\$167.44, 4.9% below consensus. Fiscal 2028 grows 10% at an 86% gross margin: EPS US\$179.96, 12.8% below consensus. Free cash flow of about US\$146bn after US\$55bn of capital spending takes net cash after deposits to about US\$174 a share (on 1.15bn diluted shares) by October 2027. The fiscal 2028 excess, and half of it again in 2029, discounted at 10%, adds US\$186; 12 times normal EPS of US\$39.63 adds US\$476. Total: US\$835. Measuring the excess on earnings is generous, because construction spending will run far ahead of depreciation.

Scenarios: three cases, twelve months out

Case	What happens	FY28 EPS	Normal EPS	Normal P/E	Value	Change	Weight
Bear	Prices turn in 2027 as new cleanrooms ramp; normal year at the ten-year margin	US\$104.92	US\$18.25	10x	US\$436	down 58%	25%
Base	Tight through FY28, half the excess in FY29; normal year above history	US\$179.96	US\$39.63	12x	US\$835	down 20%	50%
Bull	Shortage outlasts 2028, as Micron's "no line of sight" to balance allows; floors hold margins near 40%	US\$206.12	US\$67.24	14x	US\$1,409	up 35%	25%
Weighted	25 / 50 / 25				about US\$879	down 16%	

Normal revenue: bear US\$110bn at a 19% margin; base US\$152bn at 30%; bull US\$193bn at 40%. Fiscal 2027 and the cash at October 2027 are the same in all three on purpose: Q1 is guided and more than 75% of 2027 output is committed, so the bear's price turn shows from FY28. The bear case is not fanciful: in the last cycle the shares halved within nine months of their high. The band: long when my base value is at least 15% above the price, short when it is at least 25% below, no call in between.

Sensitivity: normal net margin against the multiple on normal earnings

Normal net margin	10x	12x	14x
22%	US\$664	US\$723	US\$781
30%	US\$756	US\$835	US\$915
38%	US\$848	US\$948	US\$1,049

One of the nine cells sits above the price, and only just: it needs both a 38% normal margin and 14 times. Four cells sit 25% or more below the price, all with a margin of 22% or a multiple of 10 times. Normal revenue, fiscal 2028 and the cash are as in the base. Every figure is live in the accompanying model.

Peer landscape

Company	Listing	P/E on consensus	Year	What they make
Micron	Nasdaq: MU	5.9x	FY to Aug 2027	DRAM, HBM, NAND
SK Hynix	KRX: 000660	3.7x	CY2027	DRAM, HBM, NAND
Samsung Electronics	KRX: 005930	3.8x	CY2027	DRAM, HBM, NAND, logic, phones
SanDisk	Nasdaq: SNDK	7.8x	FY to Jun 2027	NAND flash and SSDs
Kioxia	TSE: 285A	5.2x	FY to Mar 2027	NAND flash and SSDs

Price over consensus EPS for the year ending in 2027, from stockanalysis.com (S&P Global), retrieved 7 October 2026; Kioxia is market value over consensus net income. Median of the four peers 4.5 times. Prices are Nasdaq closes of 6 October and Seoul and Tokyo closes of 7 October 2026. Fiscal year-ends differ by up to eight months, so the multiples are not on one basis. Multiples only; no view on the peers' shares.

Catalysts

When	Event	What I watch
9 December 2026	Capital return steps up (CHIPS Act anniversary)	Size of the buyback against free cash flow
17 December 2026 (expected)	Q1 FY27 results (quarter to about 3 December)	Revenue against US\$61.5bn; Q2 guide; DRAM price per bit
Mid calendar 2027	ID1 and Tongluo start output; Singapore HBM packaging	Whether supply growth stays near the low 20s %
September to December 2027	Calendar 2028 HBM agreements	Whether most of 2028 is agreed, and at what price

Risks: what would hurt the view

On the upside, the floors. Take-or-pay agreements are new to memory. If Micron reaches its goal of about half of revenue under these agreements, with more of it floored, and keeps signing to 2031, the next trough could look nothing like 2023; that is my bull case, up 35%. **On the downside, supply.** Micron's guidance implies more than US\$50bn of capital spending in fiscal 2027, mostly on construction, and ID1, Tongluo, Singapore and SK Hynix's Yongin all start in 2027. Every maker has the same price signal and the cash to answer it.

Customers adjusting. Micron says servers now carry a "modestly lower rate of content growth", and an analyst asked about one large customer using less HBM. If HBM wafers returned to ordinary DRAM, the squeeze would ease. **Ceilings as well as floors.** The largest agreements generally cap existing products at calendar second quarter 2026 market prices.

What would change my mind

Into a long: a price at or below about US\$726 with my numbers unchanged. **Into a short:** a price at or above about US\$1,114. On my model, normal earnings of about US\$74 a share or more would point long and about US\$35 or less short, but those are my estimates, not something Micron reports.

The view is wrong if, by October 2027, Micron reports a quarter in which DRAM prices and total revenue both fall on the quarter before, which points to my bear case; or it says strategic customer agreements with a defined pricing framework cover at least half of its revenue through 2030 while it still expects the industry to be supply constrained in calendar 2028, which lifts normal earnings towards my bull case.

Conclusion

My piece of 7 October argued that HBM takes wafers from ordinary memory and keeps that market short too. Micron's results support it: the 2027 HBM is sold, the trade ratio stands, and 2027 HBM prices narrow the margin gap with conventional DRAM. The shares are a different question. At about 6 times consensus they look cheap, but the price needs a normal year near the 2018 peak margin. Base value US\$835, down 20%, range US\$436 to US\$1,409. My call: NO CALL, leaning short, low conviction.

Appendix: forecast assumptions

Assumption	FY27E	FY28E	Normal	Basis
Revenue, US\$bn	266.3	292.9	151.9	Q1 guide, then about 6, 5, 4% a quarter; FY28 +10%; normal: bits x1.2 a year for 4 years, 55% of FY26 price
Gross margin	87.5%	86.0%		Q1 guided 86.25%, 'the floor' for FY27
Operating expenses, US\$bn	9.3	11.0		FY26 about 6.8 plus the guided 2.5
Net margin	72.3%	70.7%	30%	Normal: FY16-25 18.8%; FY18 peak 46.5%
Tax rate	15.5%	15.5%		Guided around 15.5%
Diluted shares, bn	1.15	1.15	1.15	Q1 guide held; buybacks treated as cash kept
Capex, US\$bn	55			First half about 25 guided, second half higher
Multiple, discount rate			12x, 10%	Mine

Full workings, with live formulas, in the accompanying model, 2026-10-07_Micron_Model.xlsx.

Sources

Micron fourth quarter and fiscal 2026 results release, Exhibit 99.1 to Form 8-K, 30 September 2026, for revenue, margins, net income, EPS, business unit revenue, cash flow, cash, debt, shares and the Q1 FY27 guide. Micron prepared remarks of 24 June and 30 September 2026, for DRAM and NAND revenue, bits and prices, business unit margins, HBM agreements, strategic customer agreements, deposits, the market outlook, fab timing and the fiscal 2027 outlook. Micron earnings calls of 23 September 2025, 17 December 2025, 18 March 2026 and 30 September 2026. Micron 10-K data via SEC EDGAR for fiscal 2016 to 2021. Share prices from Nasdaq.com historical data, retrieved 7 October 2026; consensus, average target, shares outstanding and peer figures from stockanalysis.com, retrieved 7 October 2026. Estimates for fiscal 2027 and 2028, the HBM split, normal earnings and the valuation are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 7 October 2026, thephysicallayer.fyi/journal/micron-three-times-the-wafer; all notes and their track record are at

thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Micron. Personal research, not investment advice.

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